

year and a half, stocks, gold, the money supply and goods prices have all been rising at their *slowest pace yet* within Cycle wave V. In the meantime, bonds and bills in recent months have been recovering only partially in a new bear market. These weak advances reflect the last gasp of the trend toward increasing liquidity.

Substantial evidence points to the conclusion that the re-liquefaction of the markets and the economy that began thirteen years ago, as well as the disinflationary trend that began fifteen years ago, are terminating. The new forces of deflation have wrestled the old forces of inflation nearly to a standstill. What's more, all these trends are slowing on the same scale that they did in the late 1920s, leading up to the start of the Great Depression. The 1980s are *abnormal* monetary times when compared to the rest of the post-WWII environment; they are *normal* times if they are a transition phase between inflationary and deflationary trends. If the overall analysis presented in this book is correct, deflation will win this match. Evidence of that victory will be announced by a downturn in the line reflecting total debt, shown in Figure 14-12.

Creditor and Debtor Psychology

Not only the widespread *assumption* of debt, but its *issuance* as well, are consequences of an overly optimistic mood. Those who lend are confident they will be paid back, just as those who borrow in good conscience are confident they will be able to service and pay back their debts. On both sides, that attitude reflects a belief that the economy will remain strong enough to complete the transaction.

Today, consumers, businesses and government express this mood in many ways. For instance, for the first time ever, sellers are willing to lend and consumers are willing to borrow nearly half the equity in a home and 94% of the value of a new car, paying interest for the privilege, as shown in Figures 14-13 and 14-14. Household debt, which had been forever below 70% of annual disposable personal income until 1985, has soared in the last ten years to reach 93%, as shown in Figure 14-15. The Federal National Mortgage Association has been so aggressive in its lending policies that it has purchased or securitized one *trillion* dollars worth of mortgages for low- and middle-income families *just since 1990*. That is twice the amount lent in its previous five decades of existence, which means that its lending rate over the past five years has been running at *twenty times* its previous historical average. This government-guaranteed gift to the construction and real estate sales industries will